OKLO

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Re: *Interconnection of Large Loads to the Interstate Transmission System,* Docket No. RM26-4-000.

Oklo Inc. ("Oklo") submits these reply comments regarding the Notice Inviting Comments issued in response to the U.S. Department of Energy's ("DOE") October 23, 2025, proposed advanced notice of proposed rulemaking ("ANOPR") for consideration and final action by the Federal Energy Regulatory Commission ("Commission" or "FERC").

Oklo commends the DOE's initiative in addressing large load interconnection. The "extraordinary pace" of electricity demand growth—driven by data centers, industrial revitalization, and electrification—presents a profound challenge to the nation's energy infrastructure.[1] Meeting this demand reliably and affordably requires regulatory frameworks that adapt to market dynamics rather than relying on static assumptions.

Oklo develops advanced fission power plants designed to provide clean, reliable energy. Our technology features inherent safety and a scalable design. Oklo offers significant siting flexibility, allowing generation to locate near load centers. One strategy for deploying Oklo's reactors is co-locating generation with large energy users to meet specific needs. These hybrid facilities minimize the impact on the transmission system and align with the cost causation principle: customers who drive the need for new infrastructure should bear the associated costs. Our model internalizes the costs of powering specific large loads—our business model does not require and does not seek to shift costs to captive ratepayers.

[1] ANOPR at P 1, Background Section A.

We support the Commission's efforts to create a clear, predictable, and non-discriminatory pathway for integrating large loads and hybrid facilities. The principles articulated in the ANOPR, if implemented thoughtfully, will facilitate efficient grid development and support innovative models like Oklo's. We also urge the Commission to view large load interconnection not as a step towards re-evaluating transmission planning more broadly.

As advanced nuclear enters the market, FERC should revisit transmission planning rules, including those in Order No. 1920,[2] to ensure they do not bias the system towards unnecessary transmission expansion when more efficient alternatives exist.

I. Interconnection Reform Must Uphold Cost Causation and Efficiency

The Commission has long recognized the cost causation principle: costs should be allocated to those who cause them and benefit from the resulting services.[3] This is essential for ensuring just and reasonable rates, as the Federal Power Act requires.[4] The ANOPR proposes principles to implement these requirements, which Oklo supports and views as critical to ensuring that the integration of large loads adheres to this rule. This letter discusses those which Oklo views as particularly important to advance Oklo's mission to provide clean, reliable, baseload energy without externalizing costs onto others.

Recognizing the Value of Co-Location (Principles 3, 5, and 6). We strongly endorse Principles 3, 5, and 6, which emphasize hybrid facilities, where a load facility shares a point of interconnection with a new or existing generation facility, based on net impact rather than gross characteristics.

The third principle suggests that "to the extent practicable, load and hybrid facilities should be studied together with generating facilities" to "minimize the need for costly network upgrades."[5] We strongly endorse this principle. Advanced nuclear technology allows reliable, carbon-free, baseload power to be generated close to large loads, minimizing the need for costly transmission investments. As data centers, manufacturing, and other loads expand, there is little doubt that the transmission system will require substantial upgrades. But the Commission's system planning rules should incentivize both generation and load to locate in areas that will minimize the scale of such investments.

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[2] *Bld'g for the Future Through Elec. Reg'l Transmission Planning & Cost Allocation*, Order No. 1920, 187 FERC ¶ 61,068 (2024), *order on reh'g & clarification*, Order No. 1920-A, 189 FERC ¶ 61,126 (2024), *order on reh'g & clarification*, Order No. 1920-B, 191 FERC ¶ 61,026 (2025).

[3] *Antero Res. Corp. v. FERC*, 156 F.4th 654, 660 (D.C. Cir. 2025); *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 292 (2016).

[4] 16 U.S.C. § 824d; *see also Ill. Commerce Comm'n v. FERC*, 721 F.3d 764, 776 (7th Cir. 2013) (affirming that costs must be allocated in a manner "roughly commensurate" with benefits).

[5] ANOPR at P 20.

The fifth principle is essential for enabling this efficient integration: "hybrid facilities should be studied based on the amount of injection and/or withdrawal rights requested."[6] This focus on *net* impact, rather than gross characteristics, is critical. If a hybrid facility—for example, a 75 MW Oklo Aurora Powerhouse serving a 65 MW data center—were studied based on its gross characteristics, the transmission provider might assume a need for 75 MW of injection capacity and 65 MW of withdrawal capacity, triggering unnecessary network upgrades. But if the facility is studied based on its requested rights—reflecting, for example, limited injection and only necessary backup withdrawal capacity—the identified upgrades could be substantially reduced. This approach, as the ANOPR notes, "provides incentives for co-location … and ensures efficient buildout of the transmission system."[7] When coupled with the sixth principle—which requires the installation of system protection facilities to prevent unauthorized injections or withdrawals[8]—these principles account for hybrid facility attributes and minimize costly upgrades.

To bolster these principles, the Commission must ensure study processes fully capture co-location benefits, specifically regarding high-capacity-factor generation. Methodologies should not default to "worst-case" assumptions (*e.g.*, assuming co-located generation is offline during peak load) if the facility is not configured to operate that way. Customers should have the flexibility to define operational parameters, including the ability to request zero or limited withdrawal rights if relying on co-located generation.

Strict Cost Responsibility and Allocation (Principles 8 and 11). We also strongly support Principles 8 and 11, which collectively require facilities to bear the costs they incur.

The eighth principle suggests that "load and hybrid facilities should be responsible for 100% of the network upgrades that they are assigned through the interconnection studies."[9] This aligns directly with the cost causation principle.

When large loads connect, they can drive upgrade needs in the same way that large interconnecting generators do. If these costs are not assigned to the interconnection customer, they are socialized across ratepayers. Such cross-subsidization is inequitable and economically inefficient, distorting price signals and encouraging suboptimal siting. By requiring large loads to bear the costs of reliably serving their needs, the Commission ensures customers face the true economic cost of their choices. This incentivizes large loads to seek efficient solutions, such as co-location, to minimize grid impact.

[6] *Id.* at P 22.

[7] *Id.*

[8] *Id.* at P 23.

[9] *Id.* at P 25.

The eleventh principle logically extends this: utilities serving large loads, including hybrid facilities, should be responsible for transmission service based on the large load's withdrawal rights, as this "reflects the quantity of capacity and energy that is being transmitted across the transmission system to the load."[10] If a hybrid facility has limited or zero withdrawal or injection rights, it is imposing minimal demand on the transmission system. Charging for transmission service based on gross load characteristics would be unduly discriminatory, forcing the hybrid facility to pay for transmission capacity it does not use.

Oklo's model is built on providing power solutions without imposing externalities. We urge the Commission to maintain this commitment.

II. A Holistic Strategy for Transmission Planning

While the reforms proposed in the ANOPR are a critical first step, the challenge of integrating massive new loads requires a more holistic examination of the Commission's transmission policies. We are concerned that current planning paradigms, even as reformed in Order No. 1920, remain rooted in outdated assumptions that may not hold in an era of rapidly changing demands on the bulk electric system.

Grid Realities and Planning Limits. The Commission's planning rules have traditionally focused on connecting centralized generation to distributed load, often prioritizing the integration of remote renewable resources via long-distance lines.[11] But the emergence of site-flexible technologies like advanced nuclear changes this calculus. These technologies offer reliable, high-capacity-factor attributes without the need for costly, long-distance transmission projects. If the Commission's planning rules default towards identifying projects based on outdated location assumptions, they will overestimate transmission needs.

FERC should ensure transmission providers incorporate the growth of hybrid facilities into long-term planning. This means accounting for net impact and considering how such facilities affect power flow patterns. If planning assumes all new load requires remote generation and new lines, the result is a self-fulfilling prophecy: an overbuilt system where ratepayers bear unnecessary costs. Instead, planning processes must evaluate alternatives on a level playing field and long-term scenarios must realistically account for advanced nuclear deployment rather than defaulting to intermittent resource characteristics.

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[10] *Id.* at P 28.

[11] *See* Transmission Planning and Cost Allocation by Transmission Owning and Operating Public Utilities, Order No. 1000, 136 FERC ¶ 61,051 (2011); *see also* Order No. 1920, 187 FERC ¶ 61,068 (addressing long-term regional transmission planning to meet changing resource mixes and demand).

To achieve the goal of reliable and affordable power in the context of growing demand, we must expand total MWh delivered while *lowering* per capita fixed costs. The alternative—meeting new demand through inefficient expansion—is unsustainable. We urge the Commission to ensure Order No. 1920 provides genuine rightsizing by evaluating site-flexible generation and non-transmission alternatives on a level playing field.

CONCLUSION

Oklo strongly supports the integration of large loads into FERC's interconnection and planning rules to encourage efficient siting and maintain cost causation. We further urge the Commission to recognize the link between interconnection and transmission planning. As site-flexible technologies scale, FERC must ensure planning rules do not favor massive transmission expansion over more efficient alternatives.

Respectfully submitted,

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